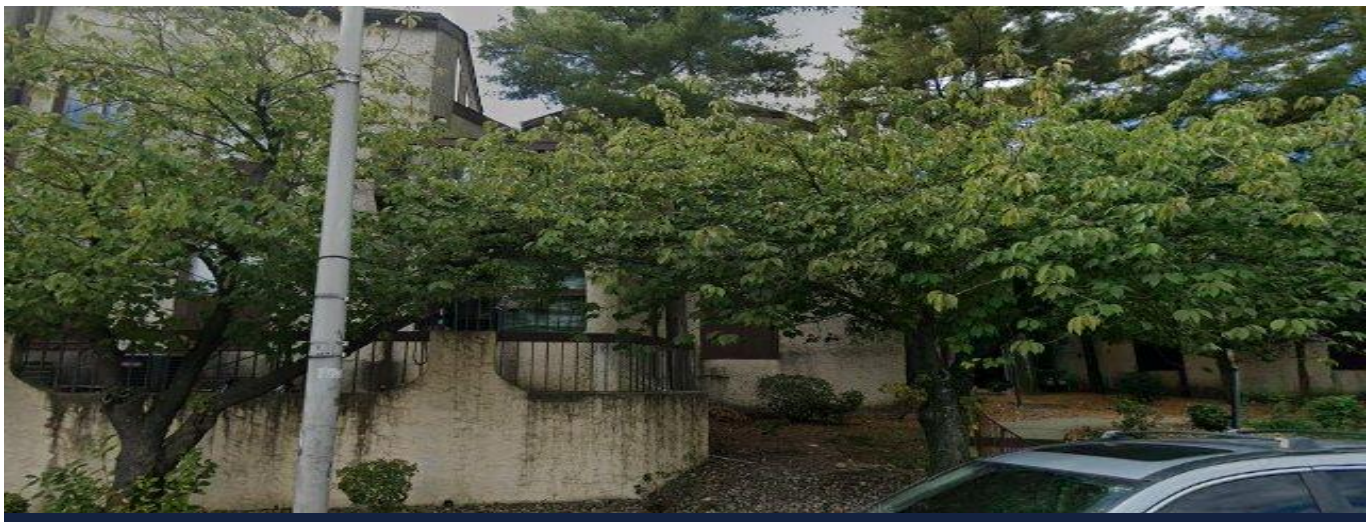


SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: PASS / HIGH-RISK RE-EVALUATION | INVESTMENT SCORE: 35/100

PROPERTY & VALUATION SNAPSHOT

Property Type	Multi-Family (Discrepancy Noted)
Beds	5 (Discrepancy Noted)
Baths	5
Year Built	1980

Asking Price	$699,499
Est. True Market Value (TMV)	$625,000
Est. Renovation Budget	$45,000
Est. After-Repair Value (ARV)	$670,000

EXECUTIVE SUMMARY

This investment proposal for 55 Smith St presents a high-risk, value-add opportunity fraught with significant legal and financial discrepancies. The asset is marketed as a turnkey commuter duplex, but our diligence reveals critical conflicts between public records, listing descriptions, and visual data regarding its fundamental property type (condominium vs. townhouse vs. single-family). Combined with a 94-day market duration and financial models showing negative leverage at the current asking price, the property is severely overvalued. The core thesis is not one of simple acquisition, but of deep forensic diligence to clarify the asset's legal standing, followed by an aggressive price negotiation to a level that can support both the required modernization and positive cash flow.

FINANCIAL PERFORMANCE

The financial viability of this asset is fundamentally broken at the proposed acquisition price. While the strategic location supports strong gross rental income potential from the NYC commuter demographic, the pro-forma analysis reveals a critical failure in profitability. The projected Net Operating Income of $38,532 is insufficient to cover the estimated annual debt service of $39,912, yielding a Debt Service Coverage Ratio (DSCR) of 0.97. This indicates negative leverage, where the cost of debt exceeds the property's operating return, resulting in immediate negative monthly cash flow and a negative cash-on-cash return. To achieve a lender-required minimum DSCR of 1.20, the acquisition price would need to be reduced by over 20%, exposing a profound disconnect between the seller's expectations and the investment's economic reality.

OPERATING PRO-FORMA

Gross Potential Rent	$62,400
Vacancy Loss (5%)	$3,120
Effective Gross Income (EGI)	$59,280
Operating Expenses (35%)	$20,748
Net Operating Income (NOI)	$38,532
Est. Annual Debt Service	$39,912
Est. Monthly Cash Flow	-$115

YIELD & RETURN METRICS

Cap Rate (on TMV)	6.16%
Cash-on-Cash Return	-0.76%
Debt Service Coverage Ratio (DSCR)	0.97

RENOVATION & CAPEX ANALYSIS

The seller's 'turnkey' positioning is a marketing narrative that masks the need for a significant rental-grade modernization. The property's 1980s 'Mediterranean' aesthetic, including dated features like in-unit bars and marble flooring, is misaligned with the expectations of today's target tenant. The logical scope of work involves a full cosmetic refresh, including replacing carpets with durable LVP flooring, neutralizing the paint palette, and updating all fixtures. The most critical renovation component is the budget contingency for addressing the bedroom count discrepancy; legalizing a non-conforming room requires navigating municipal permits and ensuring proper egress, which poses a material risk to both the budget and project timeline. As a condominium, all work is restricted to 'walls-in,' necessitating a thorough review of HOA bylaws for any restrictions on interior modifications.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Interior Cosmetic Refresh (Paint, LVP, Fixtures)	$18,000	High
Kitchen/Bath Modernization	$12,000	High
Compliance & Permitting (6th Bedroom)	$5,000	Critical
Mechanical Systems Reserve (HVAC/WH)	$10,000	Medium

MARKET & ZONING INTELLIGENCE

The property's sole unambiguous strength is its location. Positioned as a prime transit-oriented asset in Perth Amboy, it directly targets the lucrative NYC commuter market. The immediate access to bus lines and proximity to the North Jersey Coast Line train station creates a durable and deep tenant pool. This high degree of walkability and access to local amenities underpins the potential for strong rental income. However, this locational premium is already priced into the market and cannot, by itself, justify acquiring an asset with the severe structural, legal, and financial flaws identified. While the demographic demand is strong, prospective tenants will expect modern, compliant, and well-managed housing, a standard this property does not currently meet.

ENVIRONMENTAL & LOCATIONAL FACTORS

Nearest Transit	Perth Amboy Train Station (<1 mile), NYC Bus (across street)
Crime Rate Status	Urban Average; On-site diligence recommended
Flood Zone	Zone X (Minimal Risk)
Wetlands	None Identified
Contamination	None Identified

TAX ASSESSMENT & APPEAL STRATEGY

The property's tax assessment presents a significant risk rather than an opportunity. Based on our estimated True Market Value of $625,000, the current assessment of $323,300 results in an assessment ratio below the state's established lower limit. This classifies the property as statistically under-assessed. Consequently, filing a tax appeal would be a strategic error, as it would almost certainly trigger a cross-petition from the municipality to increase the assessment to align with the true market value, leading to a higher tax liability. Therefore, a tax appeal is strongly discouraged, and the current annual tax burden of $9,734.56 must be underwritten as a fixed, non-negotiable operating expense.

CHAPTER 123 TAX METRICS

Current Assessment	$323,300
Director Ratio	61.56%
Upper Limit (Appeal Threshold)	$456,703
Lower Limit (Risk Threshold)	$617,810
Est. Tax Savings	Not Recommended (Risk of Increase)

IDENTIFIED CRITICAL RISKS

- Fatal Flaw - Asset Ambiguity: A critical conflict exists between public records (duplex townhouse), listing data (condominium), and visual evidence (single-family home). This discrepancy makes it impossible to ascertain the fundamental legal and physical nature of the asset being acquired.

- Negative Leverage & Overvaluation: The investment is financially non-viable at the asking price. The projected Net Operating Income is insufficient to cover debt service, resulting in negative cash flow and an inability to secure traditional financing.

- Legal & Compliance Risk: The bedroom count discrepancy suggests an unpermitted modification, creating significant exposure to appraisal failures, denial of insurance coverage, and municipal compliance violations.

- HOA Governance & Financial Risk: The condominium ownership structure subjects the investor to the authority of an HOA, introducing risks of special assessments, restrictive covenants limiting rental strategy, and potential financial mismanagement beyond the investor's control.

MITIGATION STRATEGIES

- Halt & Verify Legal Structure: Immediately cease further underwriting and engage legal counsel to conduct a comprehensive title search and review of the master deed, bylaws, and public records to definitively establish the asset's legal structure.

- Aggressive Price Realignment: Any potential offer must be based on a re-negotiated price that is at least 20-25% below the current asking price, ensuring the pro-forma achieves a minimum DSCR of 1.20 after accounting for all renovation costs.

- Contingency on Legalization: Any offer must be strictly contingent on the seller either providing all closed permits for existing modifications or providing a substantial credit to cover all costs associated with legalizing the non-conforming bedroom.

- Forensic HOA Due Diligence: A non-negotiable condition of purchase must be the thorough review of the HOA's financial statements, reserve study, meeting minutes, and governing documents by legal counsel to assess for financial health and operational risks.